

NEW OR TRANSFER LIQUOR LICENSE OR PERMIT APPLICATION

FOR LIQUOR DIVISION USE ONLY			
Customer #:			
Trf from:			
Reviewer:	Initials	Date	
Agent:		/	/
Chief:		/	/

To be completed by City/County Clerk

License Fees	Annual Fee:	\$ <u>1500.00</u>	Local License #:	<u>MR 397669</u>
	Prorated Fee:	\$ _____	Date filed with clerk:	<u>1 / 21 / 22</u>
	Transfer Fee:	\$ _____	Advertising Dates: (2 Weeks)	<u>3/31/22 & 4/7/22</u>
	Publishing Fee:	\$ <u>100.00</u>	Hearing Date:	<u>4 / 11 / 22</u>

Publishing Fee Direct Billed to Applicant: ☐

License Term: 1 Month 1 Day 1 Year Through 3 Month 1 Day 31 Year 23

LICENSING AUTHORITY: Begin publishing promptly. As W.S. 12-4-104(d) specifies: **NO LICENSING AUTHORITY SHALL APPROVE OR DENY THE APPLICATION UNTIL THE LIQUOR DIVISION HAS CERTIFIED THE APPLICATION IS COMPLETE.**

Applicant: Westby Edge LLC

Trade/Business Name (dba): Westby Edge LLC

Building to be licensed/Building Address: 714 W. 20th Street

Number & Street

Cheyenne Wyoming 82001 Laramie

City State Zip County

Local Mailing Address: Same

Number & Street or P.O. Box

City State Zip

Local Business Telephone Number: (307) 421-4603 Fax Number: (_____)

Business E-Mail Address: westbyedge@gmail.com

FILING FOR	FILING IN (CHOOSE ONLY ONE)	FILING AS (CHOOSE ONLY ONE)
☒ NEW LICENSE	☒ CITY OF: <u>Cheyenne</u>	☐ INDIVIDUAL
☐ TRANSFER OF LOCATION	☐ COUNTY OF: _____	☐ PARTNERSHIP
☐ TRANSFER OWNERSHIP	☐ ASSIGNMENT LETTER ATTACHED	☐ LP/LLP
FORMERLY HELD BY: _____		☒ LLC
		☐ CORPORATION
		☐ LTD PARTNERSHIP
		☐ ORGANIZATION
		☐ OTHER _____

TYPE OF LICENSE OR PERMIT (CHOOSE ONLY ONE)		
RETAIL LIQUOR LICENSE	☐ RESTAURANT LIQUOR LICENSE	☐ MICROBREWERY
☐ ON-PREMISE ONLY (BAR)	☐ RESORT LIQUOR LICENSE	☐ WINERY
☐ OFF-PREMISE ONLY (PACKAGE STORE)	☐ BAR AND GRILL	☐ DISTILLERY SATELLITE
☒ COMBINATION ON/OFF PREMISE (BOTH BAR & PACKAGE STORE)	LIMITED RETAIL (CLUB)	☐ WINERY SATELLITE
	☐ VETERANS CLUB	☐ COUNTY RETAIL/SPECIAL MALT BEVERAGE PERMIT
	☐ FRATERNAL CLUB	
	☐ GOLF CLUB	
	☐ SOCIAL CLUB	

SPECIAL DESIGNATIONS		
☐ CONVENTION FACILITY	☐ GOLF CLUB	☐ RESORT
☐ CIVIC CENTER/EVENT CENTER/ PUBLIC AUDITORIUM	☐ GUEST RANCH	

To Assist the Liquor Division with scheduling inspections: **OPERATIONAL STATUS**

☒ FULL TIME (e.g. Jan through Dec)	(specify months of operation)	from <u>January</u> to <u>December</u>
☐ SEASONAL/PART-TIME	DAYS OF WEEK (e.g. Mon through Sat)	from <u>Monday</u> to <u>Sunday</u>
☐ NON-OPERATIONAL/PARKED	HOURS OF OPERATION (e.g. 10a - 2a)	from <u>11:00 a.m.</u> to <u>11:00 p.m.</u>

ALL APPLICANTS MUST COMPLETE QUESTIONS 1- 4

1. BUILDING OWNERSHIP: Does the applicant? W.S. 12-4-103(a)(iii)

(a) OWN the licensed building?

☒ YES (own)

(b) LEASE the licensed building? (Lease must be through the term of the liquor license)

☐ YES (lease)

If Yes, please submit a copy of the lease and indicate:

(i) When the lease expires, located on page_____paragraph_____of lease.

(ii) Where the Sales provision for alcoholic or malt beverages is located, on page_____paragraph_____of lease.
(MUST contain a provision for SALE OF ALCOHOLIC or MALT BEVERAGES.)

2. To operate your liquor business, have you assigned, leased, transferred or contracted with any other person (entity) to operate and assert total or partial control of the license and the licensed building? W.S. 12-4-601(b)

☐ YES ☒ NO

3. Does any manufacturer, brewer, rectifier, wholesaler, or through a subsidiary affiliate, officer, director or member of any such firm: W.S. 12-5-401, 12-5-402, 12-5-403

(a) Hold any interest in the license applied for?

☐ YES ☒ NO

(b) Furnish by way of loan or any other money or financial assistance for purposes hereof in your business?

☐ YES ☒ NO

(c) Furnish, give, rent or loan any equipment, fixtures, interior decorations or signs other than standard brewery or manufacturer's signs?

☐ YES ☒ NO

(d) If you answered YES to any of the above, explain fully and submit any documents in connection there within:

4. Does the applicant have any interest or intent to acquire an interest in any other liquor license issued by this licensing authority? W.S. 12-4-103(b)

☐ YES ☒ NO

If "YES", explain:

5. BAR AND GRILL LICENSE OR RESTAURANT LICENSE:

Have you submitted a valid food service permit or application? W.S. 12-4-413(a)

☐ YES ☐ NO

6. RESORT LICENSE:

Does the resort complex:

(a) Have an actual valuation of at least one million dollars, or have you committed or expended at least one million dollars (\$1,000,000.00) on the complex, excluding the value of the land? W.S. 12-4-401(b)(i)

☐ YES ☐ NO

(b) Include a restaurant and a convention facility which will seat at least one hundred (100) persons? W.S. 12-4-401(b)(ii)

☐ YES ☐ NO

(c) Include motel, hotel or privately owned condominium, town house or home accommodations approved for short term occupancy with at least one hundred (100) sleeping rooms? W.S. 12-4-401(b)(iii)

☐ YES ☐ NO

(d) If no on question (c), have a ski resort facility open to the general public in which you have committed or expended not less than 10 million dollars (\$10,000,000.00)? W.S. 12-4-401(b)(iv)

☐ YES ☐ NO

(e) Are you contracting/leasing the food and beverage services? W.S. 12-4-403(b)

1. If Yes, have you submitted a copy of the food and beverage contract/lease?

☐ YES ☐ NO

7. MICROBREWERY LICENSE:

Will the license be held in conjunction with another liquor license? W.S. 12-4-412(b)(iii)

☐ YES ☐ NO

(a) If "YES", please specify type: ☐ RETAIL ☐ RESTAURANT ☐ RESORT
☐ BAR AND GRILL ☐ WINERY

(b) Do you self distribute your products? W.S. 12-2-201(a)
(Requires wholesale malt beverage license with the Liquor Division)

☐ YES ☐ NO

8. WINERY LICENSE:

Will the license be held in conjunction with another liquor license? W.S. 12-4-412(b)(iii)

☐ YES ☐ NO

(a) If "YES", please specify type: ☐ RETAIL ☐ RESTAURANT ☐ RESORT
☐ BAR AND GRILL ☐ MICROBREWERY

0000

9. LIMITED RETAIL (CLUB) LICENSE:

FRATERNAL CLUBS W.S. 12-1-101(a)(iii)(B)

- (a) Has the fraternal organization been actively operating in at least thirty-six (36) states? ☐ YES ☐ NO
- (b) Has the fraternal organization been actively in existence for at least twenty (20) years? ☐ YES ☐ NO

10. LIMITED RETAIL (CLUB) LICENSE:

VETERANS CLUBS W.S. 12-1-101(a)(iii)(A):

- (a) Does the Veteran's organization hold a charter by the Congress of the United States? ☐ YES ☐ NO
- (b) Is the membership of the Veteran's organization comprised only of Veterans and its duly organized auxiliary? ☐ YES ☐ NO

11. LIMITED RETAIL (CLUB) LICENSE:

GOLF CLUBS W.S. 12-1-101(a)(iii)(D)/W.S. 12-4-301(e):

- (a) Do you have more than fifty (50) bona fide members? ☐ YES ☐ NO
- (b) Do you own, maintain, or operate a bona fide golf course together with clubhouse? ☐ YES ☐ NO
- (c) Are you a political subdivision of the state that owns, maintains, or operates a golf course? ☐ YES ☐ NO
1. Are you contracting/leasing the food and beverage services? W.S. 12-5-201(g) ☐ YES ☐ NO
2. If Yes, have you submitted a copy of the food and beverage contract/lease? ☐ YES ☐ NO

12. LIMITED RETAIL (CLUB) LICENSE:

SOCIAL CLUBS W.S. 12-1-101(a)(iii)(E)/W.S. 12-4-301(b):

- (a) Do you have more than one hundred (100) bona fide members who are residents of the county in which the club is located? ☐ YES ☐ NO
- (b) Is the club incorporated and operating solely as a nonprofit organization under the laws of this state? ☐ YES ☐ NO
- (c) Is the club qualified as a tax exempt organization under the Internal Revenue Service? ☐ YES ☐ NO
- (d) Has the club been in continuous operation for a period of not less than one (1) year? ☐ YES ☐ NO
- (e) Has the club received twenty-five dollars (\$25.00) from each bona fide member as Recorded by the secretary of the club and are club members at the time of this application in good standing by having paid at least one (1) full year in dues? ☐ YES ☐ NO
- (f) Does the club hold quarterly meetings and have an actively engaged membership carrying out the objectives of the club? ☐ YES ☐ NO
- (g) Have you filed a true copy of your bylaws with this application? ☐ YES ☐ NO
- (h) Has at least fifty one percent (51%) of the membership signed a petition indicating a desire to secure a Limited Retail Liquor License? (Petition Attached) ☐ YES ☐ NO

13. If applicant is filing as an Individual, Partnership or Club: W.S. 12-4-102(a)(ii) & (iii)

Each individual, partner or club officer must complete the box below.

True and Correct Name	Date of Birth	Residence Address No. & Street City, State & Zip DO NOT LIST PO BOXES	Residence Phone Number	Have you been a DOMICILED resident for at least 1 year and not claimed residence in any other state in the last year?	Have you been Convicted of a Felony Violation?	Have you been Convicted of a Violation Relating to Alcoholic Liquor or Malt Beverages?
				YES ☐ NO ☐	YES ☐ NO ☐	YES ☐ NO ☐
				YES ☐ NO ☐	YES ☐ NO ☐	YES ☐ NO ☐
				YES ☐ NO ☐	YES ☐ NO ☐	YES ☐ NO ☐
				YES ☐ NO ☐	YES ☐ NO ☐	YES ☐ NO ☐
				YES ☐ NO ☐	YES ☐ NO ☐	YES ☐ NO ☐
				YES ☐ NO ☐	YES ☐ NO ☐	YES ☐ NO ☐

Each stockholder holding, either jointly or severally, ten percent (10%) or more of the outstanding and issued capital stock of the corporation, limited liability company, limited liability partnership, or limited partnership, **and every officer, and every director** must complete the box below.

True and Correct Name	Date of Birth	Residence Address No. & Street City, State & Zip <i>DO NOT LIST PO BOXES</i>	Residence Phone Number	No. of Years in Corp or LLC	% of Corpora te Stock Held	Have you been Convicted of a Felony Violation?	Have you been Convicted of a Violation Relating to Alcoholic Liquor or Malt Beverages?
Darin Westby	11/26/1970	714 W. 20th Street Cheyenne, WY 82001	(307)421-4899	2 years	50%	YES ☐ NO ☒	YES ☐ NO ☒
Melissa (Misha) Westby	9/6/1968	714 W. 20th Street Cheyenne, WY 82001	(307)421-4603	2 years	50%	YES ☐ NO ☒	YES ☐ NO ☒
						YES ☐ NO ☐	YES ☐ NO ☐
						YES ☐ NO ☐	YES ☐ NO ☐
						YES ☐ NO ☐	YES ☐ NO ☐
						YES ☐ NO ☐	YES ☐ NO ☐

(If more information is required, list on a separate piece of paper and attach to this application)

☒ A statement indicating the financial condition and financial stability of the applicant W.S. 12-4-102(a)(vi).

☐ Attach any lease agreements (especially for resort/political subdivisions leasing out food & beverage services) W.S. 12-4-103 (a)(iii)/W.S. 12-4-403(b)/W.S. 12-4-301(e).

☐ If transferring a license from one ownership to another, a form of assignment from the current licensee to the new applicant authorizing the transfer W.S. 12-4-601(b).

*(Requires signatures by **ALL** Individuals, **ALL** Partners, **ONE (1)** LLC Member, or **TWO (2)** Corporate Officers or Directors except that if all the stock of the corporation is owned by **ONE (1)** individual then that individual may sign and verify the application upon his oath, or **TWO (2)** Club Officers.) W.S. 12-4-102(b)*

*Under penalty of perjury, and the possible revocation or cancellation of the license,
I swear the above stated facts, are true and accurate.*

STATE OF WYOMING)
COUNTY OF Teton)

Signed and sworn to before me on this 21st day of Jan, 2022 that the facts alleged in the foregoing instrument are true by the following:

1)	 (Signature)	Darin Westby (Printed Name)	Owner/member Title
2)	 (Signature)	Melissa (Misha) Westby (Printed Name)	Owner/member Title
3)	 (Signature)	 (Printed Name)	 Title
4)	 (Signature)	 (Printed Name)	 Title
5)	 (Signature)	 (Printed Name)	 Title
6)	 (Signature)	 (Printed Name)	 Title



Witness my hand and official seal:

Signature of Notary Public

WESTBY EDGE

714 W. 20th Street
Cheyenne, WY 82001

January 21, 2022

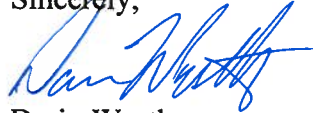
The Honorable
Patrick Collins
Mayor of Cheyenne
The Honorable
Pete Laybourn
Scott Roybal
Jeff White
Bryan M. Cook
Dr. Mark Rinne
Tom Segrave
Dr. Michelle Aldrich
Richard Johnson
Ken Esquibel
City Council Members
2101 O'Neil Avenue
Cheyenne, Wyoming, 82001

Dear Mayor and Members of the City Council,

Please accept this letter as our introduction and cover letter for our application for a retail liquor license for the City of Cheyenne. It has been a pleasure working with you all during the rezoning, replatting and building portion of this project and we would like to thank you for your assistance in that endeavor. As most of you know, Darin and I are renovating a 90+ year old warehouse on the West Edge into a multi-use property consistent with the City's West Edge Plan. The warehouse, when completed, will have a bar with a very large outdoor patio and game space, a package store or event space, a possible future brewery and a possible future grill area with a pizza oven to provide a very limited menu and food options for the bar. We had hoped to have a brewery on site at opening but our brewing equipment is a victim of the supply chain issue and is still stuck overseas in the shipping process. We are also renovating the southwest corner of the warehouse into an apartment to be used as employee housing. We are looking forward to incorporating our outdoor space with the Reed Avenue Corridor Project and contributing to the revitalization of the West Edge. If our application for a retail liquor license is granted, we will be able to open sometime this spring.

We look forward to working with the City on this application and permit process and we are happy to answer any questions or provide any additional information you may require.

Sincerely,



Darin Westby



Melissa (Misha) Westby

STATE OF WYOMING
Office of the Secretary of State

I, EDWARD A. BUCHANAN, SECRETARY OF STATE of the STATE OF WYOMING, do hereby certify that according to the records of this office,

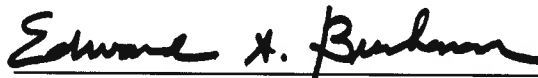
Westby Edge LLC
is a
Limited Liability Company

formed or qualified under the laws of Wyoming did on **February 19, 2020**, comply with all applicable requirements of this office. Its period of duration is Perpetual. This entity has been assigned entity identification number **2020-000901137**.

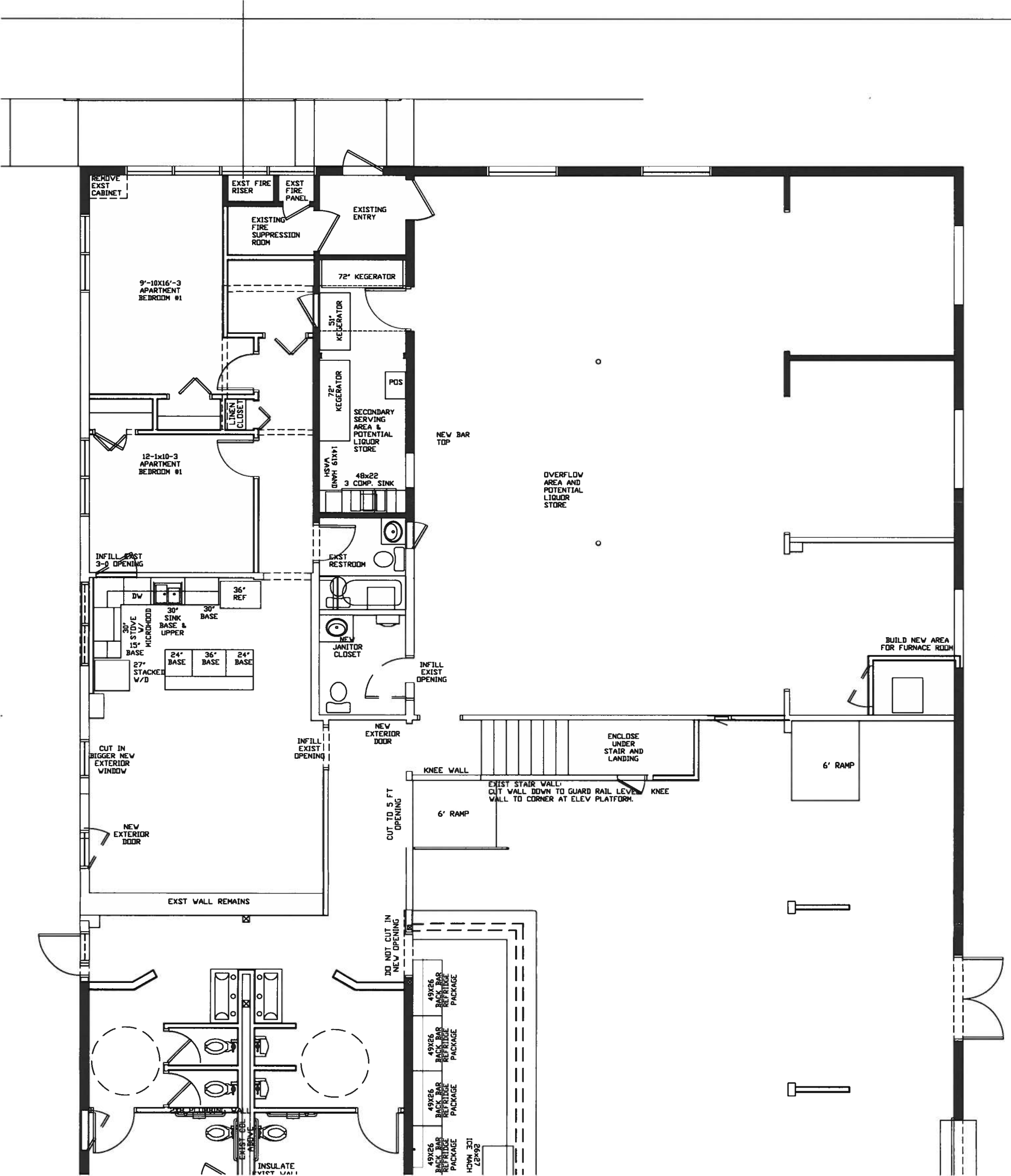
This entity is in existence and in good standing in this office and has filed all annual reports and paid all annual license taxes to date, or is not yet required to file such annual reports; and has not filed Articles of Dissolution.

I have affixed hereto the Great Seal of the State of Wyoming and duly generated, executed, authenticated, issued, delivered and communicated this official certificate at Cheyenne, Wyoming on this 20th day of January, 2022 at 4:20 PM. This certificate is assigned ID Number 049361435.




Secretary of State

Notice: A certificate issued electronically from the Wyoming Secretary of State's web site is immediately valid and effective. The validity of a certificate may be established by viewing the Certificate Confirmation screen of the Secretary of State's website <https://wyobiz.wyo.gov> and following the instructions displayed under Validate Certificate.



WESTBY EDGE WAREHOUSE - OVERFLOW/PACKAGE AREA FLOOR PLAN
714 W. 20TH STREET
CHEYENNE, LARAMIE COUNTY, WY

REVISED: 12/1/2021
SCALE: NTS

PROPOSED ALCOHOL TRAINING PROGRAM FOR WESTBY EDGE

Introductory statement:

We take this issue very seriously, we will provide consistent and substantive training for all employees (and volunteers if any) serving alcohol in our establishment.

Initial orientation:

We will provide an initial orientation to all employees (and volunteers if any) when they begin work about our commitment to a safe and secure establishment where alcohol will be served. We will provide training options (see below) and detail requirements of updating training and maintaining certifications.

Substantive training:

We will require that all employees (and volunteers if any) who sell, serve or deliver alcoholic or malt beverages or provide on-site security are TIPS trained in a program approved by the Wyoming Liquor Division by a certified trainer. This training will occur within 90 days of employment of the initial date of providing services. We will maintain those records in our business records and make sure that every person selling, serving, or delivering alcohol or involved in on-site security is current on his/her TIPS training. This documentation will be available to law enforcement personnel for inspection.

Alcohol Related Policies:

No alcohol will be sold or served to persons under the legal drinking age within the licensed or permitted building or authorized areas of service.

All incidents requiring law enforcement responsive services will be immediately reported by the licensee, permittee, employees, volunteers, on-site managers, agents or any persons providing on-site security services. Immediate notice will be provided to the Police Department of any criminal or illegal activity observed on the licensee's or permittee's property or adjoining property affiliated with the sale or consumption of alcoholic liquor and malt beverages, including the reporting of any assault, aggravated assault, or assault and battery.

WESTBY EDGE RESPONSES TO THE LIQUOR LICENSE GENERAL GUIDELINES

For use by the Governing Body of the City of Cheyenne in reviewing applications submitted for one (1) additional retail liquor license available through the City of Cheyenne due to the 2020 revised population census.

A. Pursuant to Wyo. Stat. § 12-4-104 (b), a license shall not be issued if the licensing authority finds from evidence presented at the public hearing:

1. The welfare of the people residing in the vicinity of the proposed premises to be licensed shall be adversely affected;
 - Westby Edge Brewing is located in a previously abandoned and run down building in an area generally zoned Light Industrial (we rezoned our property to Mixed Use Business in 2020 and it is now subject to the overlay). The closest homes are a block away and will not be adversely affected in any way by our business.
2. The purpose of Wyoming Statutes, Title 12, Alcoholic Beverages, shall not be carried out by the issuance of the license;
 - The purpose of Wyoming Statute Title 12 will be carried out by the issuance of a license to Westby Edge.
3. The number, type and location of existing licenses meet the needs of the vicinity under consideration;
 - The Reed Avenue Corridor does not currently have any liquor licenses and the closest one is the Rauzi license a few blocks away however they have indicated that their facility will be an event space and not a bar or restaurant. There are no bars or restaurants along the Reed avenue corridor or in the West Edge.
4. The desires of the residents of the City will not be met or satisfied by the issuance of the license; or
 - Cheyenne residents have voted twice to fund the Reed Avenue Corridor project on the West Edge with the vision of bars, restaurants and other gathering spaces to bring people to the area.
5. Any other reasonable restrictions or standards which may be imposed by the licensing authority shall not be carried out by the issuance of the license.
 - N/A

B. Other considerations which may be considered include:

1. Is the proposed premises to be licensed serving as an amenity compatible with other neighborhood activities.
 - Westby Edge is directly on the Reed Avenue Corridor, a project that envisions bars, restaurants and gathering spaces for Cheyenne. Not only would a license for our business be compatible with the neighborhood activities, it would serve as the anchor business for the West Edge and the Reed Avenue Corridor. We have a capacity upwards of 350 people and the space to have a significant liquor store, large bar and grill and catering ability. Although we have decided to offer a limited menu of bar foods as a measure of responsibility since we will be serving alcohol, we will not be able to meet the 60/40 split to make a bar and grill license work. Our business will be a volume business and our food will only provide an estimated 15-20% of our sales. We are also planning on brewing our own beer but we will only have a small system and we will not be able to manufacture enough beer to address the 60/40 split. Although some establishments like the Paramount have been able to fit within the 60/40 split based on the extended hours of operation of the coffee shop vs limited hours of operation for the cocktail bar, our business model will not be successful if we are forced to comply with the 60/40 split.
2. Does the proposed site meet current zoning requirements.
 - Yes, it is currently zoned MUB with a zoning overlay allowing for multiple types of uses.
3. Would a license, if issued, help in economic development of a blighted property.
 - Our building is a 92 year old warehouse and original Taco Johns International Headquarters. Prior to our purchase, the plan was to tear down this significant building in Cheyenne history. The indoor facility is approximately 7000 sq/ft with a similarly sized outdoor area for seating and games. We hope to make our facility the anchor business, at least for the time being, to draw people to the Reed Avenue Corridor and the West Edge. We hope that a thriving business will attract other businesses to the area to begin to realize the City's vision of a revitalized West Edge and Reed Avenue Rail Corridor.
4. Would a license, if issued, provide social and economic opportunities benefitting the community.
 - A liquor license would allow us to operate a thriving business with large and open indoor and outdoor facilities. Westby Edge will be a great place for individuals, groups and families to gather, eat and drink, enjoy locally brewed beer, watch games and other televised events and play games in the outdoor

area. We hope to employ a full time supervisor/manager and 12-15 part time employees as well as hiring local accountants and others to assist in operating the business. We plan to offer employees competitive salaries, health insurance contributions and other benefits and profit sharing.

5. Is the proposed premises to be licensed located within 500 feet of a hospital, church, school or daycare facility.

- It is not.

6. Anticipated time frame in which the applicant plans to be operational and open to the public.

- We are currently finishing the south third of the property and finalizing the mechanical/plumbing plan for the north 2/3rds. We are anticipating an opening date of May or June of this year and we may be able to open a liquor store sooner if we are given the license.

C. Consideration of supporting documents that may be submitted with the application by the applicant, including, but not limited to a:

1. Business Plan

(For example, information such as the following: whether the license will be used to attract other businesses, renovate an historic building or building of community significance, create a business anchor, anticipated business hours, customer offerings, building design, the need or market segment to be filled by issuance of the license, possible effects on existing businesses in and out of the area, anticipated number of employees to be hired, along with the average wage and total annual payroll, and any franchise or chain affiliation.)

- Attached

2. Financial Plan

(For example, information reflecting the applicant's resources to acquire, construct or remodel a building, if applicable, to be used as the licensed premises. A financial statement must be submitted with each application; a Financial Plan, if submitted, would be a more detailed description indicating the applicant's ability to become operational to provide the types(s) of services proposed under the license in a timely manner.)

- Attached



BUSINESS AND FINANCIAL PLAN

Microbrewery/Bar & Grill: Westby Edge Brewing

Company Name, Address and Telephone Number:

Westby Edge LLC
714 W. 20th Street, Cheyenne, Wyoming 82001
(307)421-4899
(307)421-4603
westbyedge@gmail.com
Westbyedge.com

Names, Job Titles, Contact Information of Owners:

Darin Westby, Owner, (307)421-4899
Misha Westby, Owner, (307)421-4603

Westby Edge Brewing will be a microbrewery located in Cheyenne, Wyoming on the West Edge.

Executive Summary

Although the domestic beer industry is dominated by mass producers, microbreweries are thriving and have become destination spots in surrounding communities. A microbrewery produces a limited amount of beer, typically less than 15,000 U.S. barrels per year and generally sell their products in house or distribute locally.

Westby Edge Brewing (WEB) will be a microbrewery/bar & grill located on the West Edge in Cheyenne Wyoming. The property is owned by Darin and Misha Westby and was rezoned in 2020 from Industrial to Mixed Use Business. This business plan covers the startup phase of the

business and a brief outline for future growth.

BBL stands for “barrels.” A barrel of beer is 31 gallons and the standard size for a keg is a half barrel. WEB has a 7 BBL brewing system on order that will be installed by March 2022. WEB plans to start production at 724 barrels per year to be expanded to 1,500 by the end of year five. WEB will produce its beer with the 7 BBL system operating at two brews a week.

Initially WEB will produce 80 percent ales and 20 percent lagers. The beer will be stored in finishing tanks in the cooler that will be tapped through the wall and served directly from the finishing tanks. When product needs to be transferred, the last BBL may be put into kegs which will also be stored in the cooler.

We will also offer product for sale in the form of 32 ounce crowlers. A crowler is essentially a growler in a can. The cans will be purchased from a distributor with our logo and canned behind the bar.

We will offer six beers on tap with plans to expand to 12 by the end of year five.

Long-term goals include expanding capacity to 1,500 barrels (BBL) per year and expanding our beers to include seasonal and specialty beers.

Although the success of microbreweries relies in large part on other microbreweries and creating a microbrewery destination, WEB plans to embrace the microbrewery business model while also setting itself apart by offering a wider variety of drinks and food. WEB will have a large cooler directly behind the bar to allow for all beverages to be served on tap, this will include domestic beer, wine and champagne or sparkling wine. WEB believes this will give it a competitive edge since microbrewery beers are not for everyone. WEB will also offer liquor and a limited cocktail menu.

In addition, in an effort to be responsible purveyors of alcoholic beverages, we are obtaining a bar & grill license and plan to serve a limited menu using primarily two small commercial pizza ovens. We anticipate that our food sales will be only 10-20 percent of our gross sales.

Microbreweries have a competitive advantage because of the uniqueness of the craft beverages and the use of local and sustainable products. Microbreweries increase their market share by

building their brand and incorporating their business into the daily awareness of their consumers.

Our marketing strategy will be to build awareness of our products and continually innovate our brands and product lines. The strategy will be grounded in building our brand and establishing WEB as a premier craft brewer and meeting/gathering space that caters to all tastes and the entire community.

Owner investment, ownership of the property and land, a generous DDA grant, and a business loan from FirstTier Bank have given WEB a significant cash infusion to renovate the structure, landscape the outdoor space and begin production.

Sales projections are based on research conducted of local breweries and bar & grills in the Cheyenne and surrounding areas. Projections place WEB's gross sales revenues in excess of \$500,000 by the end of year three.

Objectives

WEB's objectives for the first five years of operations include the following:

- To create a gathering spot for the community that is welcoming and entices people to the West Edge
- To provide a location to watch a game, meet friends, have a great beer and a variety of other alcoholic and non-alcoholic beverages and a limited food menu
- Establish and maintain the highest quality by utilizing quality ingredients and hiring motivated staff
- Create profitability by carefully monitoring the costs of ingredients, appropriately pricing menu items and establishing a solid customer base.
- Continuously offer new beers, seltzer and products to maintain interest

Company Summary

We moved to Cheyenne in 1994 and we both believe in community involvement and have volunteered for various organizations and charities while raising our family and working full

time. Darin serves on the Governor's Cabinet as the Director of State Parks and Cultural Resources and Misha is a Deputy Attorney General. We have raised three amazing children in Cheyenne, Amanda Escobedo, Colton Westby and Brennan Westby who all remain in Cheyenne. Of our community involvement, Frontier Days is the most significant with Darin beginning his volunteer work in 1994. Darin served as the Concessions Committee Chairman, the General Chairman and the Chairman of the Board until his term expired last year. With our service to Frontier Days coming to an end, we decided we needed a new project and fell in love with the Reed Avenue Corridor project and the West Edge. We sold our beautiful home in Mustang Ridge and put all of our resources toward renovating a 90 year old warehouse on Reed Avenue. We purchased the property in February of 2020 and began the processing of rezoning and replatting the half city block. Rezoning was completed in late 2020 and the property is zoned as Mixed Use Business. We began the business plan for the brewery in 2019 and although we have made some modifications, the basic idea of an anchor business for the West Edge has been consistent throughout the planning.

During this pre-startup and renovation phase WEB accomplished the following:

- Rezoned from Light Industrial to Mixed Use Business
- Replatted the property into 5 parcels
- Worked with architects and tradesman to put together building plans
- Obtained a building permit
- Created the business name and purchased the rights to the name through the Secretary of State
- Incorporated Westby Edge LLC as a Wyoming company
- Established a business bank account
- Obtained a business loan for the renovation
- Developed and launched a website
- Found and purchased a 7 BBL brewing system and associated fermenting and finishing tanks
- Developed a business model and strategy
- Began renovations on the warehouse with a completion date estimated in late spring
- Applied for and obtained a TTB permit and license to serve alcohol
- Prepared a food service application
- Prepared a state alcohol permit application

Our company name is intended to promote the West End as well as serving as a family named business. Our goal is to renovate a dilapidated but historically significant building into a welcoming brewery/bar & grill. The warehouse started out as a lumber yard in the early 1920s. It was then repurposed by the Holmes family into an RV and boat manufacturing facility. The facility was utilized to make the first Taco Johns Taco trucks and then ultimately served as the first Taco Johns International Headquarters. The warehouse fell into disrepair and we have spent the last two years cleaning and repairing the building and we are now in the construction phase with an anticipated opening date of late spring early summer 2022.

The projections from the 2021 Census estimate the population of Cheyenne at 65,035. There are currently 4 other breweries in the downtown/West Edge and the DDA has started marketing Cheyenne as a brewery destination. WEB would like to continue the brewery culture in Cheyenne and cross-market with the other local breweries.

Company Ownership

WEB is a Limited Liability Company owned by its members Darin and Melissa (Misha) Westby. They have equal ownership in the company with shared management duties and ultimate decision making authority.

Company Location

WEB encompasses a one half city block boarded by Reed Avenue to the West, 20th Street to the South and Bent Avenue to the East. The Brewery/Bar & Grill is on the South East half of the lot. The warehouse is 10,300 sq/ft with a 1,900 sq/ft two bedroom apartment on the South East corner, an event space/over flow area of potential liquor store in the remaining South third of the building and a loft space for offices and potential rentable space. The entire north two-thirds of the building is the main brewery/bar & grill with a seating capacity of 250+ and a large outdoor patio space for seating and games.

The location has the following advantages:

- It is in the middle of the planned Reed Avenue Corridor Project
- There is a large outdoor space for seating and games
- There is parking available in the city lot across 20th Street, on street parking around the building and around the park and potential after hours parking across Reed Avenue
- The renovation of the warehouse does not displace any residents and there are no residents or businesses close enough to be bothered by music or noise from the establishment.
- It is within walking distance of other breweries, restaurants and retail businesses making it a tourist destination
- The warehouse has a barn structure with a 30+ foot ceiling and open beam structure
- The use of 2 half glass garage doors and a full glass garage door with open up the space for an indoor/outdoor feeling during warm weather
- The size of the main area allows for a 47 foot long bar, room for multiple 8 person and 4 person tables and a space for live music and dancing
- The metal support structure provides the perfect setting for unique seating including swing seats around the secondary outdoor bars (half glass garage doors)
- Most importantly, WEB will provide an anchor for the West Edge and hopefully encourage other businesses along the corridor

Startup Summary

Because Darin is a professional engineer and Misha is an attorney, we were able to minimize initial costs on legal fees for rezoning and replatting and on engineering costs for initial design and architectural fees.

However, WEB has incurred or will incur prior to opening the following costs in its startup phase.

Cost of the building	\$380,000
Cost of renovations	\$466,000
Brewing equipment	\$87,000
Licenses	\$14,300
Architectural fees	\$18,500
Consulting fees	\$8,700
Total Costs	\$974,000

Other startup costs	
Supplies and inventory	\$37,000
Bar and grill equipment	\$32,000
Furnishings	\$29,000
POS	\$12,300
Security	\$2,300
Signage	\$5,200
Total other	\$117,800

Detail of brew house equipment purchased are listed below.

7 BBL brew house	\$17,000
2 – 7 BBL fermenters	\$10,500
4 – 8 BBL finishing tanks	\$10,800
Shipping of equipment	\$22,000
Consulting fees	\$3,700
Misc brewing/lab equipment	\$23,000
Total Costs	\$87,000

The brewing equipment supplier is Standard Kegs & Equipment in Greenville Texas although the equipment is manufactures in China.

Financial statement/plan

We sold our beautiful home in Mustang Ridge to purchase the property and used our own funds to buy the building and the lot. We are also using our own income to fund some of the day to day expenses of the renovation. FirstTier Bank has given us a loan to cover the remainder of the renovation costs and the costs through opening of the business.

<u>Sources and uses of funding</u>	<u>Amount</u>
Sources of funding	
Capital contributed by owners	\$437,000
Note payable to FirstTier Bank	\$670,000
	\$1,107,000
Uses of funds	
Purchase of property	\$380,000
Brewing Equipment	\$ 87,000
Renovations to building	\$450,000
Equipment and furniture	\$ 75,000
Operational expenses	\$ 85,000
Contingency	\$ 30,000
	\$1,107,000

Products

WEB plans to start with 4 beers and 1 seltzer and expand from there.

Lagers:

Mexican Lager – a light easy drinking lager reminiscent of a Corona or Modelo

Mexican Amber Lager – a light amber similar to a Negra Modelo

Ales:

Standard IPA – we will model our IPA on Odell's IPA using locally grown hops for a distinctive flavor

Hazy IPA – this will be a milder IPA, still hop forward but not as high IBU

Seltzer:

Our seltzer will be a plain seltzer like a hard club soda and we will provide flavor syrups to make the seltzer flavor of the customer's choice.

WEB also plans to partner with local home brewers who would like to scale up a recipe for commercial consumption.

WEB will offer a limited liquor/cocktail menu as well as domestic beer, wine and champagne/sparkling wine on tap.

WEB will offer a limited menu – see sample attached.

The brewery/bar & grill will be open from 11 a.m. to 10 p.m. Sunday through Thursday and 11:00 a.m. to 12 p.m. Friday and Saturday.

Alcohol Sales

WEB will sell all beers made on premises based on the cost of ingredients and prices will range from \$5.50 to \$6.75 per 16 oz beer. We will also sell flights of beer ranging from \$8.25 to \$9.50.

We will sell domestic beer for \$4.50 and wine and champagne for \$6.50. Our cocktails will range from \$6.00 to \$7.50.

Production

In our first year of operation WEB will produce 724 barrels per year: 40 percent (290 bbl) Lagers and 40 percent (290 bbl) Ales and 10 percent (72 BBL) seltzers.

Production will take place 52 weeks/year as follows:

- Lagers – 45 cycles/fermenter/year (52 brewing weeks/2 week fermentation)
- Ales – 45 cycles/fermenter/year (52 brewing weeks/3-4 week fermentation)
- Seltzer - 12 cycles/fermenter/year (52 brewing weeks/1-2 week fermentation)

Our current system is a 7 BBL 2-vessel system with 4 x 7 BBL fermenters and 4 x 7 BBL bright tanks. The brewhouse turns crushed grain, water, and hops into wort. From there the wort temperature drops and it is moved to fermenters, and yeast added to turn the wort to beer. We will have 2 hot on demand water tanks to provide hot water and the kettle will provide the boiled water

In order to allow for future expansion, we will purchase 2 more 15 BBL fermenters to allow for double batches.

Market Analysis Summary

According to the Brewers Association, there were just under 2,800 microbreweries in the U.S. at the end of 2019. The rate of growth from 2018 to 2019 was 21.8 percent.

During the last five years, hundreds of microbreweries came online while the number of annual closings ranged between 30 and 40 each year.

Special brewery permits and inexpensive federal taxes make microbreweries a generally profitable undertaking.

One reason microbreweries continue to succeed is because of their regulatory environment. Large brewers (brewers that sell over 60,000 barrels yearly) must pay \$18 per barrel in excise tax, while small breweries only pay \$16 per barrel.

Microbreweries have become a tourist draw and the front range has a multitude of brewery destinations including Cheyenne. The lifestyle index for alcoholic beverages is highest for microbrews, which suggests that more people drink craft beer than any other alcoholic beverage. The county population is 184,000 and it is estimated that 28,681 of those people drink microbrew beer.

Market Segmentation

WEB will be a brewery on the West Edge directly on the Reed Avenue Rail Corridor. WEB will be in a purchased property with a total mortgage payment of less than \$7,000. The Reed Avenue Rail Corridor will provide a walking business base for the facility.

WEB is one and a half blocks from Black Tooth Brewery and within a 1.5 mile radius of the other breweries in Cheyenne. The addition of a brewery will bring more people to the West Edge and make Cheyenne a destination spot for microbrewery enthusiasts.

While it is our belief that a “rising tide floats all boats” we are also cognizant of the market share issue with a finite number of patrons. WEB will be unique in the Cheyenne microbrewery community because of our ability to serve liquor, domestic beer, wine and champagne in addition to a small food menu.

According to Visit Cheyenne, 1.1 million overnight visitors came to Cheyenne and Laramie County in 2019. In addition to local consumers, WEB can also benefit from these out of town visitors. In addition, these visitors spent \$380 million in the Cheyenne area providing a solid base of out of town revenue.

Cheyenne has 27,647 people in the labor force with an unemployment rate of 5.1. of those, 1,927 or 7.9 are employed in the food service/entertainment industry. The average household income in 2019 was \$64,000 and Forbes has a projected annual job growth for Wyoming of 0.2%. Although the economy has suffered during the pandemic, the rate of spending at bars

and restaurants including breweries has increased from 2019.

Marketing Plan

The WEB marketing plan will be focused on creating a brand identity that the public will associate with a fun environment and quality food and drink. Our goal will be to appeal to all audiences from families to individuals and microbrew enthusiasts to domestic beer and wine drinkers.

Our marketing efforts will include the following strategies:

- *Print advertising*: including marketing materials aimed at tourists
- *Web site*: information on our company, our beers, drinks and food
- *Promotional items*: hats, tees and other merchandise without logo
- *Word of mouth*: we plan to have several soft openings and tasting parties prior to opening to spread the word about WEB

WEB has completed the design of a signature trademark to be used in our marketing materials and on labels for our products.

Tactical Objectives

HBC has identified the following tactical objectives for future activities that can be tied to specific marketing strategies, tracked and managed.

- Establish a varied customer base
- Establish a reputation for quality food and beverage
- Achieve a profitable return on investment within 3 years
- Establish and maintain a cash flow sufficient to pay all salaries, costs of business and provide a fund to put back into the business for improvements.

Competitive Edge

The craft beer market has experienced explosive growth that is predicted to continue into the future. Because craft beers tend to be marketed to a select geographic area it is possible to build a

loyal following based on familiarity.

WEB has competitive advantage because of several factors:

- Community involvement and connections of the owners
- Family expertise in the brewing industry
- Ownership of the building
- Location on a developing walking corridor

Moreover, WEB as a family business can utilize the skills and education of family members to help the business thrive.

Management Summary

WEB will be led by its owners and by the master brewer who all have the same philosophy: bringing people to the West Edge to enjoy a fun and entertaining environment and partake in quality food and beverages.

Darin Westby—Owner/member: responsible for operations. Darin has contributed significantly to the Cheyenne community from his volunteer work with Frontier Days to coaching his children in many sports including softball, basketball and hockey. Darin is a microbrew enthusiast and has researched microbreweries for years.

Misha Westby—Owner/member: Misha will be responsible for operations, marketing and assistant brewer. Misha has also worked and volunteered in Cheyenne and throughout the community for 25 years. She trained with her daughter to become certified and will serve as the assistant brewer.

Brennan Westby—Master Brewer: Brennan has her degree in biology with an emphasis on chemistry from the University of Wyoming. She spent the last two years interning and achieving the required 100 hours of interning for a master brewer. She recently completed a certification course and obtained her master brewers certification. Brennan will be responsible for brewery operations.

Additional future hires:

Manager/supervisor: to supervise the business side of the project and manage personnel

Personnel Plan

In addition to owners Darin and Misha Westby and master brewer Brennan Westby, we will plan to hire a manager/supervisor who will oversee two part time shifts. We plan to hire between 32 and 35 part time servers and bartenders. The shifts will be 10:30 to 11:00 a.m. to 4:00 p.m. and 4:00 to closing. We will pay competitive wages, provide a contribution towards health insurance and other benefits as well as profit sharing. We will offer a salary of \$48,000 plus an apartment to our brewer and a salary of \$40,000 to \$45,000 for the manager/supervisor. We plan to start servers and bartenders out at 6-8 dollars an hour before tips and kitchen staff slightly higher. We will have shared tip system so that all staff receive some tips with the servers and bartenders receiving a higher percentage. We will also pay bonuses on a quarterly basis based on a profit calculation system.

Milestones

<u>Task</u>	<u>Delivery date</u>
Begin business plan	Jan-2018
Begin location search	Sept -2019
Corporation formed	Dec-2019
Location found/purchased	Feb-2020
Begin design of facility	Jan-2020
Began rezoning and replatting	Jan-2020
EIN obtained	Mar-2020
Rezoning completed	Jun-2020
Replatting finalized	Sept-2020
Finalized business plan	Sept-2020
Finalized financial plan	Sept-2020
Completed design of facility	October-2020
Completed engineering design	Jan-2021
Building permit	Feb-2021
Began work on website	Feb-2021
Renovations started	Mar-2021
Began search for brewery equip.	Mar-2021
Brewery equipment purchased	June-2021
TTB permit obtained	July-2021

Financial Plan

Pro forma profit and loss

	Year 1	Year 2	Year 3
Sales	\$960,000	\$1,200,000	\$1,480,000
Cost of goods sold:			
Materials, supplies	\$210,000	\$258,000	\$308,000
Labor	\$125,000	\$145,000	\$167,000
Total direct costs	\$335,000	\$403,000	\$475,000
Gross profit	\$625,000	\$797,000	\$1,005,000
Gross profit %	65%	66%	67%
Expenses			
Depreciation	\$ 51,453	\$ 51,453	\$ 51,453
Payroll	\$280,000	\$350,000	\$425,000
Payroll taxes	\$ 31,600	\$ 33,100	\$ 35,800
Employee benefits	\$ 25,000	\$ 29,000	\$ 36,000
Sales & Marketing	\$ 12,500	\$ 15,000	\$ 18,000
Utilities	\$ 15,000	\$ 15,000	\$ 15,000
Insurance	\$ 6,500	\$ 6,800	\$ 7,200
Fees/licenses	\$ 1,700	\$ 1,700	\$ 1,700
Repairs/maintenance	\$ 23,000	\$ 27,000	\$ 31,000
Accounting	\$ 12,000	\$ 13,000	\$ 14,000
Property Tax	\$ 1,800	\$ 1,800	\$ 1,800
Mortgage	\$ 81,000	\$ 81,000	\$ 81,000
Misc	\$ 1,500	\$ 1,500	\$ 1,500
Total operating expenses	\$543,053	\$626,353	\$719,453
Net Profit	\$ 81,947	\$170,647	\$285,547
Net profit %	8%	14%	19%
Monthly break even revenue	\$ 73,171		
Percent variable cost	42%		
Estimated monthly fixed costs	\$ 31,846		

Projected balance sheet

Assets	Year 1	Year 2	Year 3
Current assests			
Cash in bank	\$ 12,000	\$ 43,000	\$189,000
Accounts receivable	\$ 2,800	\$ 4,800	\$ 18,000
Inventory	\$ 18,000	\$ 25,000	\$ 28,000
Other current assets			
Total current assets	\$ 32,800	\$ 72,800	\$235,000
Fixed assets			
Property	\$320,000	\$320,000	\$320,000
Improvements	\$670,000	\$670,000	\$670,000
Equipment	\$180,000	\$180,000	\$180,000
Less: depreciation	(\$ 91,453)	(\$182,905)	(\$274,358)
Total assets	\$1,111,347	\$1,059,895	\$1,130,642
Liabilities			
Current Liabilities			
Accounts payable	\$ 80,000	\$ 2,500	\$ 5,000
Total current liabilities	\$ 80,000	\$ 2,500	\$ 5,000
Long term liabilities loan			
Mortgage	\$285,000	\$285,000	\$285,000
Construction loan	\$670,000	\$670,000	\$670,000
Total liabilities	\$1,035,000	\$957,500	\$960,000
Paid-in capital	\$100,000	\$100,000	\$100,000
Net profit	\$ 81,947	\$170,647	\$285,547
Retained earnings		\$ 42,000	\$ 85,000
Total capital	\$81,947	\$212,647	\$370,547
Total liabilities & capital	\$1,111,347	\$1,059,895	\$1,130,642



